

Definitions

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[Methodology.pdf](#)

Scaled Spend

- This shows how your current ad spend compares to your highest and lowest spend levels.
- Your biggest spend becomes a 1, your smallest a 0, and everything else is scaled in between.
- This helps the model understand the relative intensity of your marketing efforts over time, no matter the actual dollar amounts.

Adstocked Spend

- Adstock accounts for the fact that ads don't just have an effect the day they run.
- This adjusted spend smooths past advertising over time, fading gradually depending on how long people remember or act on the message.
- It captures the lingering impact of your marketing.
- Adstock alpha (α) refers to the average retention rate per period.

Saturated Spend

- This reflects the idea of diminishing returns. Spending more on ads doesn't always lead to proportionally more results.
 - At a certain point, each extra dollar has less effect than the last.
 - Saturated spend curves your investment to reflect this, meaning big budgets still help, just not endlessly.
 - Saturation lambda (λ) refers to the aggressiveness of the decrease in marginal returns.
 - When $\lambda > 1$, you achieve around 46% of the total effect once spend reaches $1 / \lambda$.
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Bayesian Prior

- This is how your model "starts out" with some beliefs before seeing any of your actual data.
- These beliefs come from past experience, expert knowledge, or previous studies.
- For example, if you've seen that TV ads usually work better than online ones, you can tell the model to cautiously expect that too.
- Once the real data comes in, the model will update its beliefs accordingly.

Cross-Correlation with Lag

- This shows how two variables move together over time.
- Instead of just comparing them at the same moment, it checks whether a shift in one happens before the other.
- For example, if your sales usually go up a week after a big ad push, the cross-correlation will peak at a lag of 7 days.
- It helps uncover delays between cause and effect, so you can better understand how long it takes for your efforts to pay off.